

HEALTH INSURANCE

Health insurance is needed to protect our financial interests when we or someone from our family falls sick and a sudden health bill comes up. In such situations, the insurance company pays for our healthcare expenses. First, we need to understand a few important terms that relate to insurance products in general and health insurance in particular.

.....TERMS TO KNOW.....

1

PREMIUM

Premium is the up-front fee paid to the insurance company for covering our risks. If any liability arises, the insurance company pays the same and if nothing arises, the premium remains with the insurance company. Premium is the price that we pay to transfer our risk to the insurance company.

2

PRE-EXISTING INCLUSION & EXCLUSION

Pre-existing inclusions and exclusions refer to the pre-existing medical conditions that will be included or excluded from the insurance cover. So, any liability arising from such conditions will not be borne by the insurance company, if mentioned. Usually, the health insurance companies specify a time-frame of 2-4 years, after which the pre-existing illnesses are covered.

3

SUM INSURED

The sum insured is the amount up to which the insurance company will cover the risk. It is the maximum payment that we can receive from the insurer. The premium is dependent on the sum insured. Thus, an adequate amount of sum insured is critical and we do not wish to be under-insured or over-insured